$32,000 of Denver's marketing budget is untrackable. One line-item split fixes it.

The ask

Split $32,000 of "Paid social" into **Instagram $32,000 and Facebook $0**, and **pace Instagram evenly across the launch rather than front-loading it.**

Marketing stays $85,000; total budget stays $450,000. The opening date does not move.

Why this matters

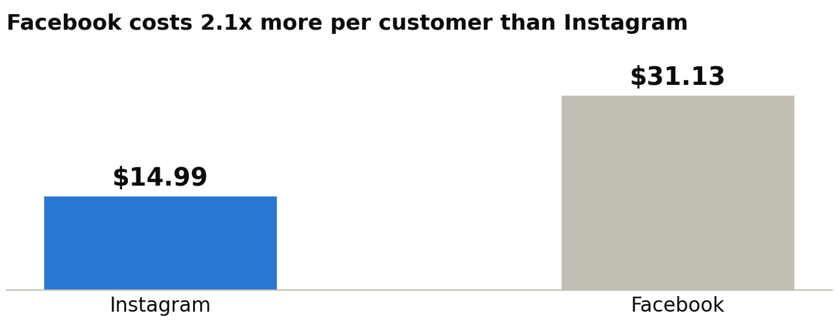
Denver funds "Paid social" as one line. At $32,000 that is **38% of the entire $85,000 marketing budget and the largest marketing line we have** — and the one line we cannot report on. Instagram and Facebook share the envelope, so money goes in and out as one number.

What the data shows

Computed from GT_MarketingA_Channel_Performance (Austin launch, 30 days) — from the daily rows, not quoted from the case brief.

Metric	Instagram	Facebook	Read
Return per $1	$6.20	$3.00	2.1x gap
Cost per customer	$14.99	$31.13	Facebook 2.1x more
Conversion rate	16.0%	6.1%	2.6x better
Spend / revenue share	67% / 81%	33% / 19%	Instagram over-delivers

Austin spent $31,999.99 on Instagram over its 30-day launch. Denver's $32,000 is the same spend in the same window, not an extrapolation beyond a tested level.



Cost per conversion, computed from GT_MarketingA_Channel_Performance.csv (Austin launch, 30 days): total spend ÷ total conversions

Second finding: pacing beats budget size

Sorting Austin's 30 Instagram days by spend shows return falling as spend rises (−0.97 correlation).

Instagram daily spend	Avg / day	Return per $1
Lowest third of days	$425	$8.01
Highest third of days	$1,979	$5.43

So what: pacing is the lever, not the total. Austin front-loaded week one and bought its least efficient traffic at its highest cost. Even pacing puts Denver at ~$1,067/day.

Our weakest assumption

That Denver behaves like Austin. The consumers are close (Census ACS 2024: metro median income $108,046 vs $99,897; median age 37.5 vs 36.2). The difference is competitive: Denver's metro has three REI stores to Austin's two, plus a Patagonia store open since 1995 that the company calls one of its largest and most event-active.

Proposed marketing budget

Line	Amount	Change
Instagram	$32,000	New line, split from paid social

Facebook	$0	New line, deliberate zero
Search (Google Ads)	$24,000	Unchanged
Launch event	$13,000	Unchanged
Email & CRM	$8,000	Unchanged
Local partnerships	$8,000	Unchanged
Total	**$85,000**	**No change**

Options we considered and set aside

- Do nothing. Spend as one line and end the quarter unable to say which channel worked.
- Fund Facebook too. Each Facebook customer cost $31.13 vs Instagram's $14.99, same ~$93 order.
- Move it all into Search. Overloads one channel and abandons Instagram's discovery role.

We chose the split: it costs nothing, delays nothing, and still yields information we lack. **Decision:** approves the rename; no dollar change. **Deadline: before the first campaign goes live.**

Why this matters to the function. Our Functional Brief ranked analytics and KPI tracking and ROI reporting as the two things to do first, and kept ad-spend monitoring human-led. All three need to know what was spent where. This split is their precondition.

Tools, Method & Verification

Dataset and fields

Primary: GT_MarketingA_Channel_Performance — Austin launch, 2 Mar to 31 Mar 2026, 30 days × 4 channels (Instagram, Facebook, Google Ads, Email), 120 rows. Supporting: GT_Finance_Denver_Budget — 20 Denver budget lines by category and owner function.

Fields confirmed before analysis: Spend_USD = daily media cost; Impressions = ad views; Clicks = link clicks; Conversions = attributed orders; Revenue_USD = attributed revenue; ROAS = Revenue ÷ Spend. Analysis is restricted to the two paid-social channels, since those are the two sharing the Denver budget line.

Cleaning and validation

Cleaning was treated as a foundational step. Checks run and results:

- Date coverage: 30 consecutive days, 2–31 March 2026. No gaps, no missing dates.
- Missing / zero values: none in any spend, revenue, click, or conversion field.
- Duplicate rows: none. Each date-channel pair appears exactly once.
- Totals reconciliation: daily spend sums to $31,999.99 (Instagram) and $16,000.02 (Facebook), matching the pivot totals to within rounding.
- Plausibility: revenue per conversion is $92.93 (Instagram) and $93.39 (Facebook), both inside the $38–$98 SKU price range in the case brief.

Known limitation, stated: channel totals land on exact round figures ($32,000 / $16,000 / $24,000 / $8,000) and returns on exactly $6.20 / $3.00 / $5.10 / $4.00. This indicates the dataset was constructed from the case brief's fixed benchmarks rather than measured independently. The daily pattern within the file is therefore treated as usable evidence; the channel totals are treated as given, not as independent confirmation.

Tools and model tiers used

- Google Sheets — data cleaning, pivot tables by channel, and manual spot-checks.
- Claude (Opus tier) — daily-level calculations run against the linked file, plus option framing and drafting.
- Gemini — second-model cross-check on REI store counts. It returned addresses for three Denver-metro locations (Denver Flagship, Greenwood Village, Lakewood) against two in Austin, correcting an earlier draft that compared Denver city limits to the Austin metro and understated Denver's competitive density. Addresses spot-checked against the REI store locator.

Verification

No figure in this brief was accepted as stated by an AI tool. Each was recomputed from the daily rows and spot-checked against the Google Sheet pivot:

- Instagram and Facebook spend totals recomputed from 30 daily rows each; matched the pivot table to $0.01.
- Return per $1 recomputed as total revenue ÷ total spend; returned $6.2000 and $3.0000, matching the case brief exactly.
- Cost per customer computed as total spend ÷ total conversions (2,135 Instagram, 514 Facebook conversions).
- Spend-to-return relationship tested by sorting all 30 days by daily spend and grouping into thirds, then by correlation (−0.971 for both channels).
- $32,000 and $85,000 confirmed directly against GT_Finance_Denver_Budget.csv.

Corrections logged. (1) An earlier draft stated Austin ran Instagram below Denver's proposed spend; recomputation showed $31,999.99, effectively identical, and the claim was removed rather than softened. (2) An earlier draft compared REI store counts at inconsistent geography (Denver city vs Austin metro); the second-model check surfaced this and the comparison is now metro-to-metro.

Working file (view access): **V2 _GreenThreads_Denver_Proposal_v2_MARKED**

Decision rights and human in the loop

Owner of the decision: (CFO) approves the budget line rename; no other sign-off is required because no dollar amount changes. Marketing owns execution of the split at the ad-account level.

Human in the loop: the reporting workflow may generate the weekly channel figures, but no AI-generated number reaches the CFO without a named human reviewing it first. Any reallocation between Instagram and Search requires explicit human approval — the system recommends, it does not move money. GreenThreads has no AI policy yet, so no customer or employee records were entered into public AI tools during this analysis.

Sources

GT_MarketingA_Channel_Performance.csv (Austin launch, 30 days, four channels);

GT_Finance_Denver_Budget.csv (Denver budget by line item). Austin figures reflect one store and one launch month.

External benchmarks: U.S. Census Bureau American Community Survey 2024 1-year estimates via Census Reporter (metro income, age, population); CBRE Denver Retail Figures Q2 2026 (retail availability 5.0%, near five-year average); REI store locator, rei.com (store counts); Patagonia store page, patagonia.com (Denver store history and event programme — self-reported by the retailer and treated as a claim, not verified data). Census-reseller sites and population-estimate aggregators were excluded: their figures disagreed with each other and with the primary ACS release.